

**FEDERAL ACQUISITION REGULATION (FAR) PART 8
LIMITED-SOURCES JUSTIFICATION**

Only One Source (FAR 8.405-6(a)(1)(i)(B))

1. IDENTIFICATION OF THE AGENCY AND CONTRACTING ACTIVITY.

The Defense Counterintelligence and Security Agency (DCSA) Procurement Solutions (PRS) proposes to enter into a DoD Enterprise Software Initiative (ESI) delivery order on a limited source basis for the Program Executive Office (PEO) Personnel Security System (PSS) Program Management Office (PMO) with International Business Machines (CAGE Code 30874).

a. Requiring Activity/Program Office:

DCSA
PSS
27130 Telegraph Road
Quantico, VA, 22314

b. Contracting Activity:

DCSA
PRS
27130 Telegraph Road
Quantico, VA, 22314

2. THE NATURE AND/OR DESCRIPTION OF THE ACTION BEING APPROVED.

DCSA PEO PSS requires the purchase of a software solution for the PSS application mainframe environment. The solution includes International Business Machines' (IBMs') International Program License Agreement (IPLA) Software Subscription & Support (S&S), Monthly License Charge (MLC) and SoftwareXcel Enterprise Edition.

In accordance with the Defense Federal Acquisition Regulation Supplement (DFARS) 208.7402(a), "*Departments and agencies shall fulfill requirements for commercial software and commercial software services, such as software maintenance, in accordance with the DoD Enterprise Software Initiative (ESI) (see <https://www.esi.mil/>).*" DFARS Procedures, Guidance, and Information (PGI) 208.7403(1) requires authorized software buyers and requiring officials to review the DoD Enterprise Software Initiative (ESI) website for availability of an existing DoD ESI agreement before pursuing other acquisition methods. IBM is the only manufacturer capable of meeting the Government's requirements and these supplies are not available on the DoD ESI website. This acquisition will be conducted under the authority of the Multiple-Award Schedule Program. As of the date of this justification, the requirement is listed under General Service Administration (GSA) Federal Supply Schedule (FSS) GS-35F-110DA contract vehicle with IBM. No IBM authorized resellers can provide all mission critical IBM IPLA S&S and MLC software together as a solution.

3. DESCRIPTION OF THE SUPPLIES/SERVICES REQUIRED TO MEET AGENCY'S NEED.

This requirement is for the acquisition of the IBM solution, including one year of IPLA Software S&S, MLC for software and licenses and one year subscription to SoftwareXcel Enterprise Edition from an Original Equipment Manufacturer (OEM) or authorized reseller.

The required IBM solution comprises:

- IBM IPLA S&S and MLC Software: These together form the z/Operating System (OS), essential for running the mainframe, infrastructure software, and customer-chosen application software within the PSS environment. Software maintenance includes access to updates, bug fixes, documentation, and telephone support.
- IBM SoftwareXcel Enterprise Edition: This service is required to support the IPLA and MLC software in the system environment, providing electronic usage support, alerting, remote screen viewing, monthly management reports, and prioritized problem reporting.

Product	Quantity	Period of Performance (PoP)
IPLA Software Subscription & Support	1 Lot	December 1, 2025, through November 30, 2026
MLC Software and Licenses	1 Lot	December 1, 2025, through November 30, 2026
SoftwareXcel Enterprise Edition	1 Each	December 1, 2025, through November 30, 2026

The proposed action is for a Firm-Fixed-Price (FFP) task order to be issued on IBM's GSA FSS GS-35F-110DA contract, under North American Industrial Classification System (NAICS) code 513210 – Software Publishers, size standard \$47 million. The required delivery date is December 1, 2025, with a 12-month coverage period from December 1, 2025, through November 30, 2026, with no option period offered by IBM for term licenses.

The estimated cost of this acquisition is [REDACTED]. This requirement is currently subject to availability of Fiscal Year 2026 (FY26) Defense Working Capital Funds. FY26 funds are planned for this requirement under Spend Plan PEPS-26-0021.

Base Period	Total
[REDACTED]	[REDACTED]

4. AUTHORITY AND SUPPORTING RATIONALE.

This procurement is prepared in accordance with FAR 8.405-6(a)(1)(i)(B), "Only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized." This justification is prepared in accordance with FAR 8.405-6(c)(2). Currently, the IBM IPLA, MLC software products and SoftwareXcel Enterprise Edition Support are provided to DCSA on task order HS002125FE008, a FFP task order with IBM Corporation, for a PoP from December 1, 2024, through November 30, 2025.

The agency's critical needs for its DCSA PSS application mainframe environment can only be met by IBM proprietary products, the OEM. Non-IBM products are incompatible with the mainframe, lack interoperability, and would significantly increase software licensing and training costs.

This IBM solution guarantees efficient, secure, and reliable performance, safeguarding PSS mission-essential operations. It ensures seamless integration and compatibility with the existing IBM z/OS and hardware infrastructure impacting key systems like eQIP, NP2, FTS, OPIS, Dashboard, and the rest of the Investigative Suite. The IBM software products and support are crucial for supporting the PSS application mainframe environment.

Replacing the z/OS with alternative software is not feasible considering both cost and schedule impacts. Such a change would necessitate a complete hardware and software conversion, resulting in substantial additional costs for the DCSA PSS. Because IBM products are specifically integrated into existing in-house applications currently hosted in the PSS environment, changing to a different operating system would require changing the hardware/mainframes to a different technology/platform. The estimated cost to replace the two mainframe systems ranges from [REDACTED] to [REDACTED], with an additional [REDACTED] to [REDACTED] for new OS software. The project would take 12 to 18 months for requirements definition, market research, and acquisition, followed by potentially 12 months or more of training (for 50-60 system administrators, developers, operators, etc.) integration and compatibility testing, and implementation. Furthermore, the agency would need to rewrite ten customer applications currently written and developed to run on z/OS, an undertaking of significant and undetermined cost and time. PSS is currently only paying [REDACTED] for the annual maintenance.

To ensure efficiency and mitigate risk, the Government's solution must be procured as a single, integrated package. A multiple-award contract across various line items could be detrimental, particularly given the criticality of this mainframe support environment to DCSA's mission. Coordinating, executing, and providing these requirements within this complex environment demands a unified approach. Splitting the requirement across multiple contractors for this complex combination of software licenses and support introduces unacceptable delays and challenges, potentially leading to critical execution failures.

IBM has confirmed that IBM IPLA software S&S, MLC software, and IBM SoftwareXcel Mainframe Solution can only be provided directly from them as the OEM, and no other authorized resellers can provide all products together as a solution meeting the Government's mission critical requirements. There is no comparable OS software that can be used on the existing IBM mainframe equipment currently in the PSS environment. Thus, only IBM, as the OEM, can fulfill the agency's requirements.

5. A DETERMINATION BY THE CONTRACTING OFFICER THAT THE ORDER REPRESENTS THE BEST VALUE CONSISTENT WITH FAR 8.404(D).

The Government has determined that. The contracting officer has determined that making an order against GSA FSS contract, GS-35F-110DA is in the best interest of the Government and provides the greatest overall benefit as it results in the overall lowest cost alternative (considering price and special features necessary to meet the Government's requirements). This determination is made on the basis that the requirement is available via FSS which will decrease administrative time/burden, that the contractor's proposed prices have already been determined fair and reasonable, and that the Government will seek further price discounts.

6. A DESCRIPTION OF THE MARKET RESEARCH CONDUCTED AMONG SCHEDULE HOLDERS.

Market research was used through researching the DoD ESI (i.e., the mandatory ordering vehicle for information technology acquisitions across DoD) at <https://www.esi.mil/>, National Aeronautics and Space Administration (NASA) Solutions for Enterprise-Wide Procurement (SEWP) Government Wide Acquisition Contract (GWAC) at <https://www.sewp.nasa.gov/> and GSA <https://www.gsaadvantage.gov/>. Our search involved identifying potential vendors and specific part numbers associated with the required IBM solution.

DoD ESI does not have a software agreement with IBM. Therefore, the IBM software (part numbers) are not available in DoD ESI.

NASA SEWP request #356798 was posted on August 21, 2025, with a closing date of September 5, 2025. One response from a small business was received. However, it was not an authorized IBM reseller and was unable to meet the Government's requirements. Furthermore, multiple random IBM part numbers were inputted into the NASA SEWP Market Research Tool to determine if the parts were available. Not all of the IBM part numbers were identified as available under the NASA SEWP GWAC.

A search of GSA Advantage identified IBM as the sole distributor/servicer of the MLC products specifically required under this procurement. The search of GSA Advantage did identify a company named [REDACTED] (small business) as a potential reseller of the IPLA products. However, [REDACTED] could only provide a small portion of the necessary requirements and could not provide the requirements in their entirety.

In addition, the DCSA IBM US Federal Representative was contacted on September 23, 2025, to confirm that IBM is the sole distributor of DCSA's required IBM IPLA, MLC and IBM SoftwareXcel Mainframe Solution Support products via their GSA FSS contract. Further inquiry revealed that IBM does not offer option year pricing for these products. Consequently, this requirement is limited to a one-year period of performance.

7. OTHER FACTS SUPPORTING THE JUSTIFICATION.

The National Background Investigations Bureau (NBIB) environment was previously supported by the Office of Personnel Management (OPM). Executive Order (EO) 13869 required the transfer and transition of OPM background investigation resources to DCSA. NBIB has been renamed Background Investigation Enterprise System (BIES). As a result of separating from the OPM mainframe, DCSA had to obtain its own maintenance for the IBM mainframe hardware and software utilized in the BIES environment. The mainframe equipment was originally purchased by the OPM. Compliance with cyber security standards necessitates the procurement of IBM IPLA software, as it operates on IBM hardware within DCSA's BIES mainframe environment. Because IBM does not authorize resellers for the IPLA S&S products, and DCSA required its own IBM IPLA S&S after the transition from OPM, sole-source acquisitions were necessary. After the transition from OPM, the DCSA acquisitions have continuously utilized FAR 8.405-6(a)(1)(i)(B) to procure off IBM's GSA contract GS-35F-110DA (HS002122F0006, HS002123F0004, HS002124F0002, and HS002125FE008).

8. ACTIONS TAKEN AND/OR ANTICIPATED TO OVERCOME BARRIERS TO COMPETITION/MARKET RESEARCH.

Although the planned replacement of the BIES with the National Background Investigation Services (NBIS) was initially scheduled for 2025, the transition has been delayed. The

current projected replacement date is 2028, necessitating continued BIES support for PSS until NBIS is fully implemented. While the Government will continue to explore alternative software solutions in the marketplace, the current requirement necessitates the unique IBM solution designed to support the existing PSS IBM z/OS system software that runs the operating system/mainframes. IBM is the sole source provider due to its proprietary components, technology, accesses, software, licenses, and maintenance. The Government is committed to transitioning to a competitive acquisition approach for the required functionality as soon as feasible, leveraging new technologies to support mission partner needs and maximizing competition to the maximum extent practicable. If the previously acquired sole source products are no longer required, the Government will seek a competitive acquisition approach for the required functionality.

CERTIFICATION AND APPROVAL

Program Official:

I certify that the facts and representations under my cognizance, which are included in this Justification, and which form a basis for this Justification, are complete and accurate.



Digitally signed by

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IT Specialist (SYS ADMIN)
Personal Security Systems
Defense Counterintelligence and Security Agency

Contracting Officer Certification:

I certify that this Justification is accurate and complete to the best of my knowledge and belief, and that the circumstances of FAR 8.405-6(a)(1)(i)(B) apply.



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Contracting Officer
Procurement Solutions (PRS)
Defense Counterintelligence and Security Agency

Competition Advocate Approval:

Based on the foregoing justification, I hereby concur in the procurement of IPLA Software S&S, MLC and SoftwareXcel Enterprise Edition on a sole source basis pursuant to the authority of FAR 8.405-6(a)(1)(i)(B), subject to the availability of funds, and provided the supplies described herein have otherwise been authorized for acquisition.



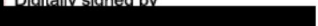
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Competition Advocate
Procurement Solutions (PRS)
Defense Counterintelligence and Security Agency

Senior Procurement Executive:

Based on the foregoing justification, I hereby approve the procurement of IPLA Software S&S, MLC and SoftwareXcel Enterprise Edition on a sole source basis pursuant to the authority of FAR 8.405-6(a)(1)(i)(B), subject to the availability of funds, and provided the supplies described herein have otherwise been authorized for acquisition in accordance with DFARS 208.405-6.

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Senior Procurement Executive
Procurement Solutions (PRS)
Defense Counterintelligence and Security Agency